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The Ministry of MSMEs, Government of India, operated more than forty schemes with a total outlay of about Rs 7500 crore in 2020–21. There are schemes to support credit, technology upgradation, market support, employment, and so on. But there is not a single scheme that supports the provision of equity. The Ministry of MSMEs does not even recognize equity as important. In fact, the Annual Report of the Ministry of MSMEs for 2018–19 does not feature the word ‘equity’ even once in the entire 150-page report!

Only one study conducted for India’s MSMEs makes some estimate of their equity requirement. In 2018, the International Finance Corporation (IFC), an affiliate of the World Bank, published a comprehensive study of requirements and availability of finance for MSMEs in India. It estimated demand for equity finance by MSMEs at Rs 18.4 lakh crore out of total required finance of Rs 87.7 lakh crore. Unfortunately, after estimating the requirement of equity finance in its initial part, the rest of the report did not talk about equity and concentrated only on credit finance.

Small Industries Development Bank of India (SIDBI), the apex development finance institution for MSMEs, which had outstanding Rs 95,000 crore of credit finance at the end of financial year 2017–18, directly and indirectly through refinance, did not provide any equity support to MSMEs. Its balance sheet does not even include provision of equity in the list of its assets. It only provides a small and negligible amount of venture capital support to some start-ups under some lines of credit.

Small and medium companies have an option to raise equity on the SME exchanges of the BSE (formerly the Bombay Stock Exchange) and NSE (National Stock Exchange of India). This exchange allows companies with post-issue face value capital up to Rs 25 crore, which is far higher than the maximum Rs 10 crore investment permissible for medium enterprises in plant and machinery. Still, only about 300 companies are listed on both the